Note: Method of deriving the rectifying entries

	Wrong Entry	Correct Entry	Rectifying Entry
a	Angannan A/c Dr. 500 To Cash A/c 500	Angappan A/c Dr. 500 To Cash A/c 500	Angappan A/c Dr. 500 To Angannan A/c 500
b	Cash A/c Dr. 750 To Sales A/c 750	Cash A/c Dr. 750 To Furniture A/c 750	Sales A/c Dr. 750 To Furniture A/c 750
c	Bagya A/c Dr. 2,100 To Sales A/c 2,100	Purchases A/c Dr. 2,100 To Bagya A/c 2,100	Purchases A/c Dr. 2,100 Sales A/c Dr. 2,100 To Bagya A/c 4,200
d	Wages A/c Dr. 1,000 To Cash A/c 1,000	Machinery A/c Dr. 1,000 To Cash A/c 1,000	Machinery A/c Dr. 1,000 To Wages A/c 1,000

(ii) Rectification of errors while preparing the trial balance

Errors can be rectified at the time of preparing the trial balance as follows:

(a) Rectification of one-sided errors while preparing the trial balance

While preparing the trial balance, if the total of debit balances and credit balances are not the same, there is disagreement of trial balance. It shows that there are errors in the books of accounts. As a consequence, the accountant may start locating errors before closing the trial balance. In such cases, the errors are rectified at that stage itself. At this stage, the rectification of one-sided errors is made in the same manner as in the case of rectification before preparing trial balance. Rectifying journal entries are not required to be passed in the books. In such cases, errors can be rectified by giving an explanatory note in the account affected.

Illustration 8

The following errors were located at the time of preparation of the trial balance. Rectify them.

(a) Sale of goods to Akila on credit for ₹ 1,520 posted to her account as ₹ 1,250.

(b) Bought goods from Narendran on credit for ₹ 5,500, credited to his account as ₹ 5,050.

(c) Purchase of furniture from Ravivarman for ₹ 404 on credit were debited to furniture account as ₹ 440.

(d) Purchased machinery for cash ₹ 2,000 was not posted to machinery account.

(e) The total of purchases book ₹ 899 was carried forward as ₹ 989.

Solution

(a) Akila account should be debited with ₹ 270

(b) Narendran account should be credited with ₹ 450

(c) Furniture account should be credited with ₹ 36

(d) Machinery account should be debited with ₹ 2,000

(e) Purchases account should be credited with ₹ 90

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